

US Retail Rollout Strategy: A Three-Wave Plan, Explained

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Abstract

We looked at where 72,828 US retail stores are physically located across 149 brands, and asked: **where should we roll out first, second, and third?** The data points to three clear waves: **Northeast / Great Lakes (NY, PA, OH)**, then **South / Sunbelt (TX, FL, GA)**, then **Pacific Coast (CA, AZ, NV)**. Together those three regions hold 76 % of all stores in the country and sit close to all the major US ocean ports. A pre-existing hypothesis to start in Colorado, Texas, and Southern California was *partially* right: TX and SoCal made the top three, but Colorado fell to fourth because it is too far from any major port for the logistics math to work. We recommend Colorado as a Tier-2 expansion — after the Western footprint exists.

1. What this report answers

If we have to launch in three waves, where should each wave go? We answer that with three simple ideas:

1. Where are the stores most concentrated? (Density)
2. How big are the markets there? (Demand)
3. How easy is it to ship to them? (Distance to the nearest US port or rail hub)

A region only deserves to be in the first wave if it is strong on all three.

2. How we figured it out

2.1. We grouped stores by where they are and how reachable they are

We let an algorithm look at the country and find natural *groups* of stores that sit close to each other and are similarly reachable from major ports. We did not tell the algorithm what regions exist; it discovered them on its own. After testing groupings of 2, 3, 4, ... up to 12 different sizes, the data was best described as **six groups**.

2.2. We scored each group on three things

For each of the six groups we measured:

- **Size** — how many stores it contains.
- **Density** — how tightly packed those stores are (a single warehouse can serve a dense cluster cheaply).

*This is the plain-language companion to the technical report. The technical version contains the full methodology, statistical tests, and algorithm comparisons.

- **Port distance** — how far the average store is from the nearest major US container port (or the Chicago rail hub).

We combined the three into a single **rollout score**: bigger and denser is better; further from a port is worse.

2.3. We checked the answer four different ways

To make sure the six-group answer was not an accident of one method, we re-ran the analysis with three different algorithms (one that respects regional populations, one that builds a tree of warehouses inside warehouses, one that double-checks how stable the boundaries are between groups). All four methods agreed on the same broad regions.

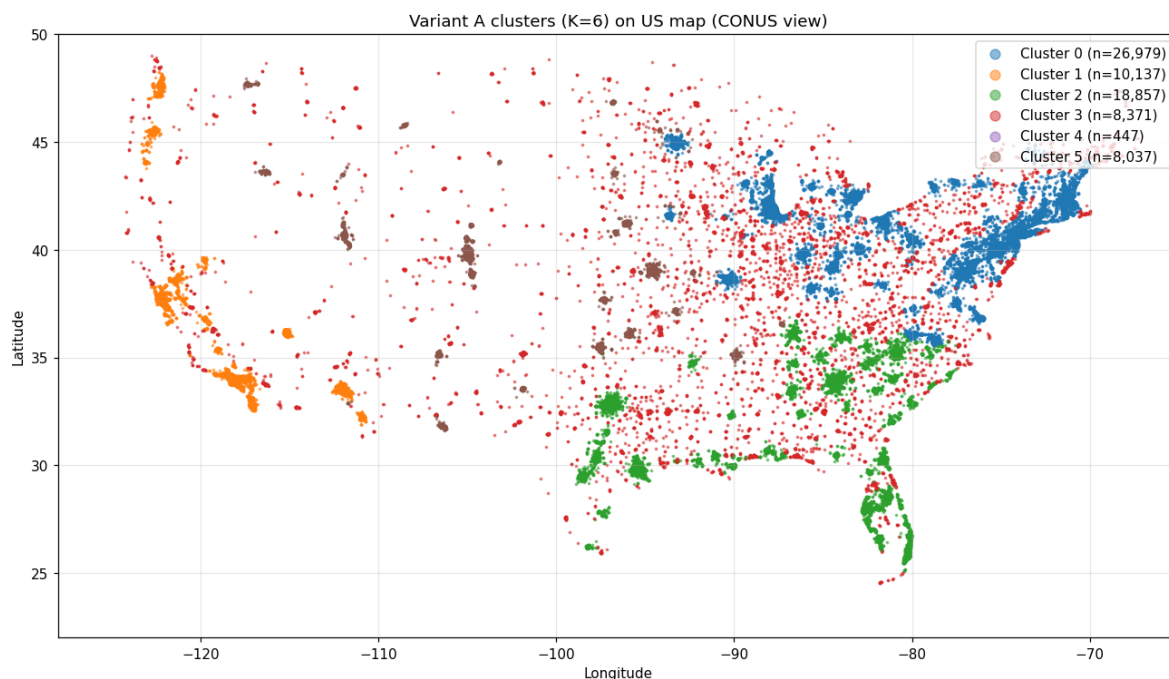
3. The six regions the data found

The model produced six geographic clusters that line up with regions you would recognize, even though we never told it the names of US states or census regions.

Table 1. The six clusters ranked by rollout score. Top three states for each cluster shown in parentheses. Higher score = better candidate to launch first.

Rank	Region (top states)	Stores	Mean dist. to port	Score
1	Northeast / Great Lakes (NY, PA, OH)	26,979	253 km	+3.05
2	South / Sunbelt (TX, FL, GA)	18,857	304 km	+1.86
3	Pacific Coast (CA, AZ, NV)	10,137	218 km	+1.21
4	Mountain West / Plains (CO, MO, OK)	8,037	940 km	-0.22
5	Sparse Interior / Heartland (TX, IL, IN)	8,371	475 km	-2.13
6	Hawaii / Pacific Territories (HI)	447	3855 km	-3.78

Figure 1. The six regions plotted on the US map. Each colored dot is one store; color = which region the algorithm assigned it to.



4. What the regions tell us

4.1. Top three regions cover 76% of all US stores

- **Wave 1:** Northeast / Great Lakes (NY, PA, OH) — 26,979 stores
- **Wave 2:** South / Sunbelt (TX, FL, GA) — 18,857 stores
- **Wave 3:** Pacific Coast (CA, AZ, NV) — 10,137 stores

Combined: **55,973 stores, 76 %** of the universe. These three regions also cover all the major US ocean ports (LA / Long Beach, NY / NJ, Houston, Savannah) and the Chicago rail hub. So even if any single port is disrupted, three of the four supply lines stay open.

4.2. Why Colorado is not in the top three

Colorado is a strong market on density — it has roughly 1,500 of our stores. But the average Colorado store is **940 km** from the nearest port, while a typical Pacific Coast store is only **218 km** away. That logistics gap pushes Colorado to rank 4. It is a good Tier-2 expansion (after Wave 3), not a launch market.

4.3. Brands behave similarly across regions

We checked whether different regions are dominated by different types of stores (for example, whether one region is heavy on convenience stores while another is mostly grocery). The differences are statistically real — with very high confidence (greater than 99.9%) — but *small in practical terms*. In other words, every region has roughly the same brand mix, just in different proportions. So the rollout decision is about **geography and logistics**, not about which type of store dominates a region.

4.4. Hypothesis check: Colorado + Texas + Southern California

The original idea was to start in Colorado, Texas, and Southern California. The data supports two of the three:

Table 2. The pre-existing hypothesis vs. the data.

Region	Cluster it landed in	Final rank	Verdict
SoCal	Pacific Coast (CA, AZ, NV)	3	in top 3
Texas	South / Sunbelt (TX, FL, GA)	2	in top 3
Colorado	Mountain West / Plains (CO, MO, OK)	4	× moved to Tier-2

5. The 3-wave rollout plan

5.1. **Wave 1 — Northeast / Great Lakes (NY, PA, OH)** (*months 0–6*)

- **Coverage.** 26,979 stores across NY (2,669), PA (2,625), OH (2,368), VA (2,036), IL (1,854).
- **Top brands.** CVS (4,610), Convenience (generic, multi-chain) (2,936), Walgreens (2,809), Starbucks (2,042), Fitness Gym (generic, multi-chain) (1,822).
- **Distribution from.** NY/NJ, with the average store about 253 ,km away.

Why this wave. The Northeast / Great Lakes corridor combines the country’s densest store population with proximity to both the Chicago rail hub and the New York / New Jersey port. A

single regional warehouse can serve over 25,000 stores with most under 300 km away. This is the safest place to start.

5.2. Wave 2 — South / Sunbelt (TX, FL, GA) *(months 6–12)*

- **Coverage.** 18,857 stores across TX (5,180), FL (5,144), GA (1,930), NC (1,403), TN (1,356).
- **Top brands.** CVS (2,605), Convenience (generic, multi-chain) (1,796), Walgreens (1,572), Circle K (1,457), Starbucks (1,205).
- **Distribution from.** Houston, with the average store about 304 ,km away.

Why this wave. The Sunbelt cluster spans Texas, Florida, Georgia, North Carolina, and Tennessee — the South’s mega-metros. Houston is the country’s top Gulf port and the gateway for Latin American supply, while the Savannah port serves the East-Coast portion. Wave 2 builds the operational maturity needed for the Pacific launch.

5.3. Wave 3 — Pacific Coast (CA, AZ, NV) *(months 12–18)*

- **Coverage.** 10,137 stores across CA (5,769), AZ (1,875), NV (1,038), WA (728), OR (671).
- **Top brands.** CVS (1,632), Convenience (generic, multi-chain) (1,057), Seven Eleven (894), Starbucks (888), Walgreens (796).
- **Distribution from.** LA/LB, with the average store about 218 ,km away.

Why this wave. The Pacific Coast cluster sits adjacent to LA / Long Beach (the largest US container port for Asia trade) — the best logistics economics of any region. Sequenced third because regulatory and tax complexity is higher there; Waves 1 and 2 establish the operational playbook first.

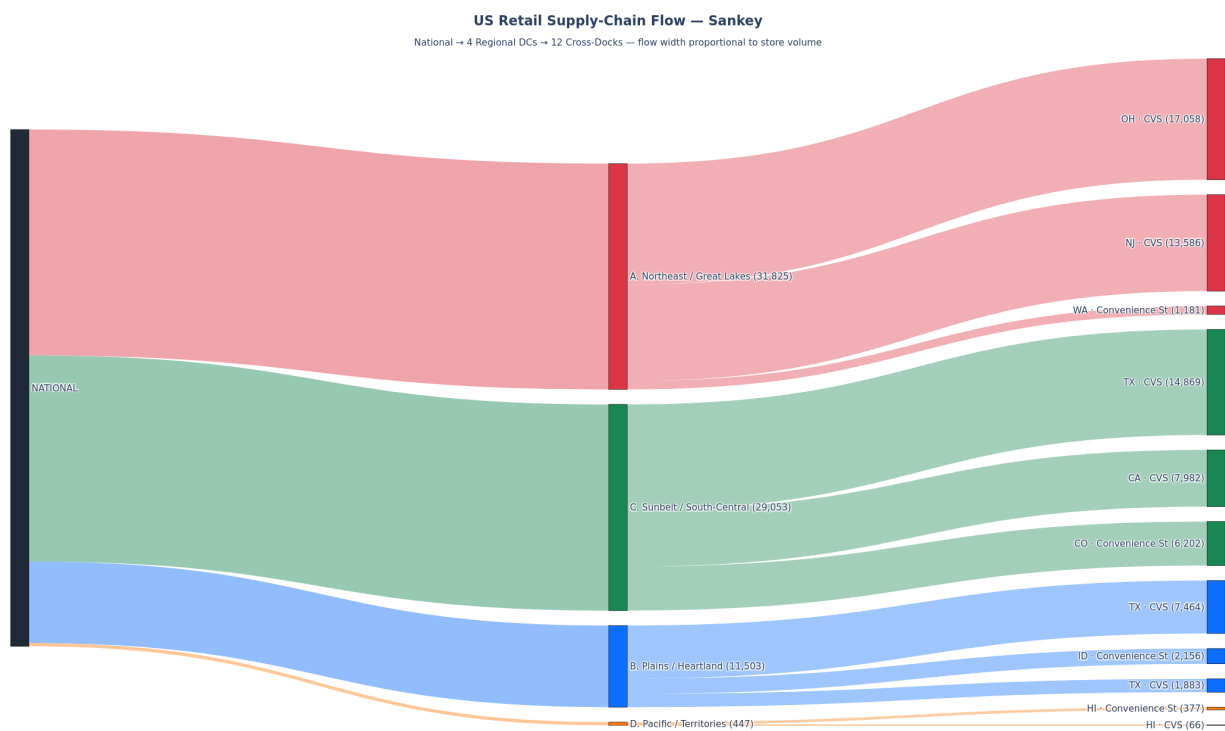
5.4. Tier-2 expansion (after month 18)

- **Mountain West / Plains (CO, MO, OK):** 8,037 stores. Add once the Western footprint exists; can be served partially from the LA port (Wave 3) and partially from the Chicago rail hub.
- **Sparse Interior / Heartland (TX, IL, IN):** 8,371 stores spread thinly across rural areas of the country. Phase in once core operations are running smoothly.
- **Hawaii / Pacific Territories (HI):** 447 stores. Air freight or specialty ocean routes; treat this as a separate operating model.

Figure 2. The supply-chain hierarchy: one national warehouse, four regional warehouses, twelve sub-regional cross-docks. Box size is proportional to the number of stores served.



Figure 3. Same hierarchy as a flow diagram: the thicker the band, the more stores flow through that part of the network.



6. What we are not sure about (risks)

1. **Some brands are over-represented in our data.** Public store directories cover big chains (CVS, Walgreens, Starbucks) better than they cover small regional chains. Our scoring is largely unaffected by this, but the *absolute* store counts in each region could be a few percent off.
2. **We measured straight-line distance to ports, not road distance.** Real trucking distance is roughly 20–40 % longer due to road networks. The *ranking* of regions does not change, but the actual cost to ship needs a routing-aware refinement before we lock in physical warehouse locations.
3. **We used state population as a stand-in for demand.** A real demand model would use per-capita retail spending by ZIP code. Not blocking, but a known gap.
4. **Cluster boundaries shift slightly when we add new data.** If we add more retailers to the database, a few stores at the edges of regions will move between clusters. The big picture stays the same, but plan to re-run the analysis quarterly.

7. Decision summary

The model recommends a three-wave national rollout: **Northeast / Great Lakes (NY, PA, OH)** → **South / Sunbelt (TX, FL, GA)** → **Pacific Coast (CA, AZ, NV)**. The open business decision is whether to keep Colorado in Tier-2 (the data-driven recommendation) or to accelerate it into Wave 3 for strategic reasons — for example, proximity to existing Western operations.

How sure we are about each wave

- **Wave 1** (Northeast / Great Lakes): **very confident**. The largest region by far, scoring well above any other.
- **Wave 2** (South / Sunbelt): **very confident**. Second-largest, with the Houston port advantage.
- **Wave 3** (Pacific Coast): **fairly confident**. Smaller in absolute count, but clearly ahead of the next region down.

A. Visual references

Figure 4. Why the regions ended up the way they did. The algorithm relied most on *where* a store is (latitude/longitude), with density and port distance as the next two most important factors. Brand variety mattered the least.

